

Independent Auditor's Report

To the Executive Director and Conference of Ministers of Foreign Affairs of Western Balkan Fund,

Opinion

We have audited the accompanying special purpose financial information comprising statement of financial position, the statement of income and expenses, statement of funds, statement of cash flows and the related notes of Western Balkan Fund (further referred to as the "Organization") for the period 1 January 2024 – 31 December 2024.

In our opinion, the special purpose financial information of Western Balkan Fund is prepared, in all material respects, in accordance with the requirements of Modified cash basis of accounting as described in Note 2 of the special purpose financial information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the audit of the special purpose financial information* section of our report. We are independent of the Project in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the special purpose financial information in Albania, and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter – Basis of Accounting and Restriction on Distribution

We draw attention to Note 2 to the special purpose financial information, which describes the basis of accounting. The Organization prepares its special purpose financial information on a modified cash basis of accounting. Under this basis, income is recognized when received and expenses are recognized when paid, with limited accrual adjustments. As a result, the recognition of income from contributions and grants may not be presented in a manner proportionate to the related expenses incurred and therefore may not fully reflect the matching principle generally applied in financial reporting frameworks. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Special Financial Information

Management is responsible for the preparation and fair presentation of the special purpose financial information in accordance with the basis of accounting described in Note 2 and for such internal control as management determines is necessary to enable the preparation of a special purpose financial information that is free from material misstatement, whether due to fraud or error.

Management's Responsibility for the special financial information

Management is responsible for the preparation and fair presentation of special purpose financial information. This responsibility includes designing, implementing, and maintaining internal control relevant to the preparation and fair presentation of financial information that is free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibilities for the audit of the special financial information

Our objectives are to obtain reasonable assurance about whether the special purpose financial information as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this special purpose financial information.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the special purpose financial information, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the special purpose financial information or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the entity to cease to continue as a going concern.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates, if any, and related disclosures made by management.,
- Evaluate the overall presentation, structure and content of the special purpose financial information, including the disclosures, and whether the special purpose financial information represents the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Grant Thornton sh.p.k.

Tirana, Albania

5 May 2025

Grant Thornton sh.p.k.



Statutory Auditor
Erjona Isufi